

MAINS MASTER PROGRAM (MMP) 2024

ECONOMY-10; AGRICULTURE-5

1. TABLE OF CONTENTS

1. Table of Contents	0	4. Subsidy and Associated Issues	9
2. Economics of Animal Rearing	1	1) Scale of Food Subsidy.....	9
1) Dairy Sector	1	2) Issue of Farm Loan Waiver	9
2) Small Ruminant Sector	3	3) MiniMum Support Price (MSP) and Procurement Regime.....	11
3) Fishery Sector.....	4		
4) Inland Fishery and Aquaculture	6		
3. Cooperatives: Shahkar Se Samriddhi: From Cooperation to Prosperity.....	7		

1) DAIRY SECTOR

- Introduction

- » India is the **world's largest producer and consumer of milk** and has the world's largest dairy herd comprised of water buffaloes and indigenous and crossbred cattle.
- » **Currently** India produces more than 230 million tonnes of milk. It is an important secondary source of income for 80 million rural households engaged in dairying and for 70% of the workforce that comprised women. It contributes to a fifth of India's farm output and is important source of nutrition in average Indian diet.
- » **Net Exporter:** Since the early 2000s, India is a net exporter of the dairy products which primarily include the milk powder

- Key Problems in India's Dairy Sector: In spite of above successes, **India's dairy sector suffers from multitude of challenges:**

- i. **Low Productivity:** For e.g. in India annual milk yield per cow is 1642.9 kg, which is only 2/3rd of the global average of **2430.2 kg**. The average for USA is **10,457.4 kg**.
- ii. **Shortage of quality feed and fodder:**
 - i. Growth in crops production is slower than the growth in milk production. (Crop residue forms the largest share of the feed supply).
 - ii. Irrigated area under cultivate green fodder has only increased marginally
 - iii. Land available for pasture and grazing is decreasing per capital animal
 - iv. Reports of degradation of the pastures also present
- iii. **Limited Credit Availability:** Government has primarily focused on crop sector, and animal husbandry and fishery sectors have faced challenges in accessing credit over the years.
- iv. **Very low investment on R&D** related to indigenous breed improvement.
- v. **Poor infrastructure and supply chain:** Lack of focus on development of cold storage facilities, aggregation has led to small farmers facing challenges.
- vi. **Animal diseases:** Traditional disease-like foot and mouth disease and new diseases like lumpy skin diseases is also hampering the dairy sector.
- vii. **Environmental Pollution and Climate Change:** It is leading to land degradation and thus reduction of pastureland. Similarly, climate change is also degrading the ecosystem and increasing the chances of diseases.

- Potential for Growth: India right now has potential to increase both demands and supply of milk:

- » **Increasing Supply:** India has a large but low yielding milking herd. If we are able to improve the yield of our animal herd, we will be able to increase the supply of milk products.
- » **Increasing Demand:** The demand in India's domestic market is increasing significantly because of various socio-economic changes.

- Government initiatives for Livestock Sector:

- i. **Rashtriya Kamdhenu Aayog:** Constituted by GoI to organize animal husbandry on modern and scientific lines and to take steps for preserving and improving breeds and prohibiting the slaughter of cows and calves and other milch and draught cattle. It is a high-powered permanent

body which will formulate policy and issue directions for scaling up sustainable genetic upgradation of bovine resources and also look after implementation of laws and welfare schemes for cows.

- ii. **Rashtriya Gokul Mission:** To undertake breed improvement program for Indigenous breeds so as to improve the genetic makeup and increase the stock.
- iii. **National Livestock Mission:** It ensures intensive development of livestock, especially small livestock (sheep/goat, poultry rearing etc.) along with adequate availability of quality feed and fodder.
 - » The scheme has been restructured for 2021-22 to 2025-26. It focuses on entrepreneurship development and breeds improvement in poultry, sheep, goat and piggery, including feed and fodder development
- iv. **E Pashu Haat Portal:** A portal developed under National Mission on Bovine productivity to connect breeders and farmers regarding availability of quality bovine germplasm.
- v. **E-Gopala App** - inaugurated in Sep 2020: It is a comprehensive breed improvement marketplace and information portal for direct farmer use. It gives farmers the freedom from middlemen and provide all information related to productivity, health and diet for cattle. It will make it easy for farmers to choose advanced stock.
- vi. **Health Improvement:**
 - » **Livestock Health and Disease Control Scheme:** It helps with prevention and control of animal disease like Foot and Mouth Disease (FMD), Peste des Petits Ruminants (PPR), Brucellosis, Classical Swine Fever etc.
- vii. **Dairy Development:** Government is making efforts for strengthening infrastructure for production, processing and marketing of quality milk and milk products through following schemes:
 - National Program for Dairy Development
 - National Dairy Plan (Phase-1)
 - Dairy Entrepreneurship Development Scheme
 - Dairy Processing and Infrastructure Development Fund (DIDF)
- viii. **Kisan Credit Card (KCC) For Animal Husbandry & Dairying Farmers**
- ix. **Rs 15,000 crore for Animal Husbandry Infrastructure Development Fund (AHIDF)**
 - Launched as part of ANBA 1.0; Aimed at incentivizing investments by individual entrepreneurs, private companies including MSME, FPOs, and Section 8 of Companies to establish (i) dairy processing and value addition infrastructure (ii) meat processing and value addition infrastructure, and (iii) animal feed plant.
 - Government provides a 3% interest subvention to eligible beneficiaries. There will be a 2-year moratorium period for the principal loan amount and 6 years repayment period thereafter.
- x. **First Ever Credit Guarantee Scheme for livestock sector launched (July 2023)**
 - Under AHIDF.
 - The scheme facilitates access to finance for unserved and underserved livestock sector, making availability of financial assistance from lenders to mainly first generation entrepreneurs and underprivileged section of society, who lack collateral security for supporting their ventures. It thus ensures smooth flow of credit to MSME engaged in livestock sector without hassles of collateral security.
- xi. **SUTRA PIC (Scientific Utilization Through Research Augmentation - Prime Products From Indigenous Cows):-** Under this initiative academic organizations and capable NGOs are provided

funds to do research on indigenous cows, its products and application in health, medicine, agriculture, food, nutrition etc.

- **Way Forward for Dairy Sector**

» **How productivity can be further improved?**

- Expansion of high yielding cross-bred dairy herd and **improving and protecting the indigenous breeds.**
- Continued growth in buffalo milk production.
- Both the above steps will require improving now-deficient supplies of feeds.
 - Focus more on **cultivation of green protein rich feed** (India's tropical climate will support this)
- Promoting more R&D in the field of genetics.
- Training and Education of farmers regarding different aspects of animal breeding.

» **Better Technology and Management: Bring down the cost of producing milk and increasing the competitiveness.**

» **Improve the sanitary and Phytosanitary requirements** of our milk products to increase its exportability.

» **Improve linkage between production and markets** -> Promote more cooperatives; contract farming etc.

» **Develop market for value added products:** Increase production of Paneer, Khoya products etc. and its market

» **Increased Private investment:** PPP to augment veterinary infrastructure.

2) SMALL RUMINANT SECTOR

- **Example Questions**

- » Discuss the key significances and challenges of Small Ruminant Sector in India (15 marks, 250 words)

- **Introduction**

- » Small ruminants (sheep and goat) are widely distributed across various agro-ecological zones of India, playing an important role in socio-economic development of resource poor farmers in rural India. Around 15% of the households in rural India rear sheep/goat and around 70% of the sheep goat are reared by small and marginal farmers.
- » The total population of goat and sheep in India stands at 200 million (40% of the livestock population in India).

- **Advantage/Significance of Sheep and Goat rearing:**

- » **Alternate Source of income** especially for the small and marginal farmers during lean season.
 - This specially benefits women and landless farmers.
- » **Advantage over ruminant dairy sector**
 - Low capital investment and production input.
 - Low Feed and management needs
 - Less Space and Feeding requirements
 - **Highly Adaptable to drought/Climate Change etc.**

- They have **high survival rate** in extreme conditions (compared to large ruminants like - cows, buffaloes etc.)
 - They can survive on available shrubs and trees in adverse harsh environment in low fertility lands where no other crop of animal could survive.
- They have higher reproductive rates and small reproductive cycles -> flock numbers can be restored quickly. This also allows farmers/producers a quick interval of selling and generating cash income.
- » **Main source of meat production in India**
 - Not associated with any religious taboo/sentiments
 - Therefore, 98% of meat produced by small ruminants is consumed in the country itself with meagre exports
- » They are also important source of **wool and leather products** along with small amount of milk production.
- **Factors which hinder growth in the sector**
 - » **Poor focus on input:** The quality of feed and fodder is completely ignored. Breed improvement isn't even discussed seriously among government agencies.
 - » **Weak Market Facilities**
 - » **Poor Policy Support** (Credit, insurance, investment promotion)
 - » **Postproduction system** like collection, handling, marketing, slaughter facilities etc.
- **Conclusion**
 - » There is a need of scientific management of breeding, pregnancy, nutrition, housing and healthcare with considerable economic investment to fetch more returns from sheep/goat rearing. The profitably and economic returns from the sector can be considerably enhanced through value addition of the animal produce and better market accessibility.

3) FISHERY SECTOR

- **Introduction**
 - » India is the third largest producer of fish in the world (17.54 million tonnes - 8% of the global production) in 2022-23. Keeping in mind the growing significance of the sector, government has created a separate Department of Fisheries in Feb 2019.
 - » The **fisheries sector** grew at a CAGR of **8.9%** between 2014-15 to 2022-23.
 - It makes up about 6.72% of the agricultural GVA.
 - It is a sunrise sector which supports approximately 30 million people, particularly marginalized and vulnerable communities.
- **Significance of Fishery Sector for India:**
 - » **GVA:** GVA of the fishing sector is **1.24%** of the National GVA and **around 7%** of the Agricultural GVA.
 - **Growth:** The fishery sector grew at a CAGR of 8.9% between 2014-15 to 2022-23.
 - » **Employment:** It is a sunrise sector and support approximately 30 million people, particularly marginalized and vulnerable communities.
 - » **Export earnings** from fishery sector was of more than 64,000 crores in FY23.

- » **Nutritional and Food Security** (fishery fulfills 25% of global protein requirements)
- » **Development of Coastal area:** Fishery sector can contribute to improvement of coastal infrastructure by development of fishery harbors and processing plants.

- **Important Challenges Faced by Fishery Sector -**

- i. **Unorganized** (especially among traditional fisherman)
- ii. **Poor Infrastructure** -> capture, processing and transportation -> leads to post harvest losses and reduces the value of the catch.
- iii. **Missing Policy Support** -> Fishery sector doesn't get the kind of subsidy, insurance, credit etc available to agriculture sector
- iv. **Lack of awareness among farmers** about the potential and opportunities available from the inland fisheries.
- v. **Illegal, unreported, and Unregulated (IUU) Fishing:** It poses threat for sustainability of fishing sector and also hamper the interest of genuine fishermen.
- vi. **Exotic (invasive) Species** of fish have started threatening the fishery sector
- vii. **Unsustainable exploitation** by the corporate sector -> It is leading to depleted stocks.
- viii. **Fish Habitat degradation:** Due to increased pollution, eutrophication and climate change.

- **Regulation of Fishing Sector in India**

- » Fishery is a **state subject**, thus fishing in the IW and TS come within the purview of the states concerned.
 - Other activities in the TS and activities, including fishing beyond the TS upto the limit of EEZ, are in the Union List
 - The Respective **State Marine Fishing Regulation Acts** (MFRA) protect and regulate the fishery resources in the territorial waters (i.e. upto 12 nautical miles from the baseline)
- » **Maritime Zones of India** (Regulation and Fishing of Foreign Vessels) Act, 1981, or MZI Act, regulates fishing by foreign fishing vessels in the maritime zones.

- **Key Initiatives by Government to Promote Fishery Sector**

- A. **Pradhan Mantri Matsya Sampada Yojna (PMMSY)** launched in Sep 2020: Focuses on attracting investment, development infrastructure and modernize value chain of fish production.
- B. **Pradhan Mantri Matsya Kisan Samridhi Sah - Yojana (PM-MKSSY):** PM-MKSSY is a central sector sub scheme under Pradhan Mantri Matsya Sampada for **Formalization of Fishery Sector and supporting fisheries MSMES**
- C. **National Genetic Improvement Facility for Shrimp Breeding:** This facility has been created under PMMSY.
- D. **KCC scheme extended to Animal Husbandry and Fishery Sector by Budget 2018-19**
- E. **Sagar Parikrama:** An outreach program intended to reach out fishermen community across the entire coastal belt of the country. It focuses on understanding the issues, experiences, and aspirations of fisherfolks and also to create awareness of various schemes and programs including PMMSY and KCC.
- G. **Fisheries and Aquaculture Infrastructure Development Fund (FIDF):** To provide concessional finance for fishery development.

- **Way Forward: Other Steps that can be taken to improve the fishery sector**

- i. **Implementation of selected recommendations of Dr Meena Kumari Committee**
 - » Creation of a buffer zone (between 200 meters and 500 meters depth)
 - » Proper use of fishing nets etc.
 - ii. **Fishery should be provided same focus that is given to Agriculture sector.**
 - » While agriculture receives a lot of focus in terms of subsidy, insurance, credit, power tariff etc., the fishery sector should also get the same focus.
 - iii. **Promote Fish cooperatives and Fish Farmer Producer Organizations:** More focus on fishing cooperatives to reduce the limitations of small fishing farmers and fishermen.
 - iv. **Training** is crucial for enhancing the fishery sector. Inclusive skill development programs, with emphasis on north-eastern and hilly states can help increase the coverage of fishery sector in remote areas.
 - v. **R&D in the sector** needs to improve: Focus on disease resistant variety of fish & aquatic health management is needed.
 - vi. **Improving Deep Sea focused infrastructure**
 - » Currently India's fishing sector has limited capacity to harness the deep sea fishing potential.
 - » Upgradation of infrastructure as well as the skills of fisherman community will solve this potential.
 - vii. **More use of remote sensing technology** to identify rich fishing areas
 - viii. **Use emerging technologies like big-data and IoT** to minimize losses, and improve traceability.
- **Conclusion**
- » While enhancing incomes through fisheries sector, it is significant to integrate the **SDGs of ensuring incomes and livelihoods for poor**. Further, the fishery development should be **sustainable** i.e. all the goals and targets should be achieved keeping **future generation in mind** and avoiding over-exploitation/depletion of marine resources.

4) INLAND FISHERY AND AQUACULTURE

- **Introduction**
- » **What are Inland Fisheries and Aquaculture?**
 - **Inland fishery** is any activity conducted to extract fish and other aquatic organisms from inland waters
 - **Aquaculture** is the breeding, rearing and harvesting of fish, shellfish, plants, algae, and other organisms in all types of water environments. Aquaculture can be marine or Freshwater.
 - » **Current Situation:**
 - The inland fish production in the country has witnessed a healthy growth in last five years with production reaching 131.13 lakh tonnes 2022-23. With this India has become the largest producer of inland fishery in the world.
 -
- Although inland fishery and aquaculture have grown in absolute terms in India, the development in terms of its potential is yet to be realized.
- » We have **1.9 lakh kms** of rivers and Canals, 1.2 million hectares of floodplain lakes, 2.36 million hectares of ponds and tanks 3.54 million hectares of reservoirs and 1.24 million hectares of brackish resources.

- » These offer **great opportunities for livelihood development and economic prosperity.**
- **Significance of Aquaculture Fishery**
 - » **Substantial Socio-Economic Benefits**
 - Increased Nutrition Levels, Income, employment, and Foreign Exchange
 - » **Use of Underutilized Resources** land and water resources.
- **Some challenges faced by the sector**
 - » **General Problems with fishery sector** - already discussed
 - » **Lack of varieties of species** - leads to oversupply of a few varieties and hence price drop.
 - » **Lack of Expertise, training for new farmers:** Farmers are mostly dependent on traditional methods that often lead to conditions which promote disease.
- **Way Forward: Some other steps that can be taken.**
 - » Focus on skill development for new farmers in the fishery sector. Farmers must be trained on modern culture systems that use less land and water but will greatly benefit the sector and all stakeholders.
 - » **Enhance nutritional diversity** for fish - Adoption of better feeding methods.
 - Farmers must be taught to use compound feed which can yield better results for farmers.
 - » **Promote sustainable aquaculture** - In an environment friendly approach
- **Conclusion**
 - » In implemented properly, the policy should strike a balance between aquaculture and various enhanced practices to achieve higher fish productivity, environment sustainability and social equity.

3. COOPERATIVES: SHAHKAR SE SAMRIDDHI: FROM COOPERATION TO PROSPERITY

- The cooperative societies, especially in agriculture, dairy and fisheries sectors, provide the rural population with following benefits with a community-based approach:
 - i. **Empowerment of farmers:**
 - » Aggregation of produce
 - » Enhancement of bargaining power -> preventing exploitation by middlemen and traders.
 - » Easy access to resources - cooperatives facilitate access to credit, agri-input (seeds, fertilizers, and machineries), storage and marketing channels.
 - For e.g. Around **19 per cent of agriculture finance is through cooperative societies.**
 - » Knowledge and skill enhancement: cooperatives organize skill development and training initiatives to help farmers learn modern agri-techniques.
 - ii. **Economic advantages:**
 - » **Economy of scale** (through bulk procurement of inputs) -> Reduce input cost for farmers
 - » **Better market access:** Cooperatives play a role in grading, packaging, branding and marketing of agri produce.
 - » Value addition through food processing etc. increase income for farmers.

- iii. **Social Benefits** through community development program and women empowerment; women's participation in cooperatives have ensured their economic independence and more decision-making power.
 - iv. **Environmental sustainability**: Cooperatives have also work towards promoting sustainable practices like natural farming, organic farming, integrated farming etc.
- **But cooperatives suffer from challenges like:**
- i. **Lack of professional management**: This leads to inefficient operations and financial management.
 - ii. Inadequate infrastructure, limited access to technology.
 - iii. **Political interference**: Cooperatives have become a tool for political gain, where appointments are made on political consideration rather than on merit.
 - iv. **Poor participation**: Members are not aware of their rights and benefits of cooperatives and thus their participation in the affairs of cooperatives is poor.
 - v. **Financial Issues**:
 - **Limited capital** hinders them from using latest technologies, infrastructure marketing etc.;
 - **Cooperative banks** also face the challenge of high NPAs.
 - vi. **Regulatory challenges**:
 - **Dual Control** by both centre and state leads to conflicting regulations and bureaucratic hurdles.
 - vii. **Social and cultural challenges**:
 - Caste is still deeply penetrated rural social milieu of India. This becomes barrier to equal participation and representation in cooperatives.
- **Current Situation of Cooperatives**: There has been an increase in the number of single state and multi-state cooperatives (MSCs):
- » As of March 2024, there are 8.03 lakh single-state cooperatives and 1614 multi-state cooperatives. These cooperatives have more than 29 crore members mainly from the marginalized and lower-income groups in rural areas. 98% of the villages are covered by Primary Agriculture Credit Societies (PACS).
 - » In 2023, government has approved a scheme for setting up PACS in the next five years in the Panchayats/villages yet to be covered.
- To realise the vision of “**Sahakar-see-Samriddhi**”, a renewed impetus has been given to cooperative sector:
- » A full-fledged **Ministry of Cooperation** was established in July 2021 to provide greater focus to the cooperative sector.
 - » Computerization of 63,000 functional PACS
 - » Preparation of by laws for enabling PACS to expand their activities.
 - » **The Multi-State Cooperative Societies Act, 2002 (MSCS)** was enacted after repealing the 1984 act, to facilitate democratic functioning and autonomous working of multi-state cooperative societies in line with the established cooperative principles.
 - **The act was amended in 2023**:
 - The amendment brings that act in line with part IXB of the Constitution and to strengthen the cooperative movement in the country.

- Provisions related to electoral reforms; strengthening of governance and transparency; reforming the composition, meeting and membership of the board
- Enabling raising of funds by cooperative sector, strengthening monitoring mechanism, enhancing EoDB, etc.
- » **New Cooperation policy is being formulated:**
 - It will focus on strengthening the cooperative movement, deepen the reach of cooperatives to the grassroots, and promoting cooperative based economic development.
- Cooperatives **hold the key to rural economic transformation** and if the above initiatives are implemented properly, they can help us in achieving the vision of '**Sahakar se Samridhhi**'.

4. SUBSIDY AND ASSOCIATED ISSUES

1) SCALE OF FOOD SUBSIDY

- **FY25 (BE)** Food subsidy bill 2.05 lakh crore (less than Rs 2.12 lakh crore in FY24)
- For FY23, government had spent Rs 5,32,446 crore on subsidy.
 - » This includes Food Subsidy (Rs 2.8 lakh crores), Fertilizer Subsidy (Rs 2.1 lakh crores), and Petroleum subsidy (Rs 30,756 crore).
 - » It was the 2nd highest ever after the 7.06 lakh crores of FY 2021.

2) ISSUE OF FARM LOAN WAIVER

- **Example Questions**
 - i. "Farm loan waivers are good politics and bad economics" Critically Analyze [12.5 marks, 200 words]
- **What is farm loan waiver?**
 - » Farm loan waiver is the waiving off (not requiring the payment) of the farm loans by government. Here, farmer who has borrowed the money doesn't have to return the loan and government pays the lender on behalf of the farmer from its own budget.
- **Positive Impact / Need of farm loan waiver / Justifying farm loan waivers**
 1. India's **farmers have had a rough ride over the last decade:** Rising input cost; agrarian stress; Suicides etc.
 2. A loan waiver can help bankers to renew loans, and farmers can use the borrowed money for production of more crops, hopefully manifold than the amount of loan waiver.
 3. A high level of outstanding debt reduces the incentives for the debtor to exert effort to repay. In such a situation a policy of debt forgiveness can **induce the optimal level of effort from the debtor and maximize repayment.**
 4. **Big corporate houses get big right-offs.** So, why can't farmers get write-offs.
- **Negative Impact**

1. **Affects fiscal health of the waiving government (centre or state)**
2. **Development on back foot** -> Reduction in capital and social spending by states
3. **Create pressure on other states**
4. **Moral Hazards: Encourage a culture of default among farmers**
5. **Increase the stressed assets of the banks** and thus contributing in the twin balanced sheet problem
 - Money will come in today because the government will pay but when the banks will give a loan in the future, farmers will wait for the next elections
6. **Farm loan waivers have not helped**
 - A study by SBI, released in July 2022 highlights poor performance of farm loan waivers:
 - Only half of the intended beneficiaries have actually received debt write-offs between 2014 and 2021.
 - Further, most of the farm loan accounts (more than 80% in some states) were in standard category and not stressed.
 - Thus, waiver benefits are going to mostly well off farmers and vulnerable/stressed farmers perhaps still take credit from informal sector.
 - It covers only a tiny fraction of farmers.
 - Farmers investing from their own savings and private borrowings don't get covered.
 - Loan waving excludes agricultural laborers who are even weaker than cultivators in bearing the consequences of economic distress.
 - Farm suicides have not shown decline after the 2008 mega loan waiver.
7. **Tools to influence voters:** equivalent to cash for vote

- **Way forward**

- » **A well-designed loan waiver program could be useful.** It could enhance the overall well-being of the households by improving their productive investments, as opposed to distorting their loan utilization and repayment patterns.
 - One possibility is to **formulate eligibility rules** that depend on the historical loan utilization, investment and repayment pattern.
 - Further, subsidies in the form of DBT should be provided to cover farmers who take loans from informal sector.
- » **Solve the root cause of the problem: Farmer distress**
 - Effectively implementing PMFBY will also go a long way forward in reducing the farmers distress and thus will reduce the need of farm loan waivers.
 - **In long run, the focus should be strengthening the repayment capacity of the farmers by improving and stabilizing their income.**
 - Efficient implementation of marketing reforms like e-NAM
 - Empowering FPOs.
 - Efficient Agri-export mechanisms.
 - Promote future trading among farmers to stabilize income.
 - Instead of waivers, government should focus on building more efficient infrastructure that results in better irrigation facilities, water conservation, and a sufficient storage system for produce.
- » **Regulate the informal lenders**

- A law which requires registration and ceiling on the interest rates will go a long way in reducing vulnerability of farmers.
- » **Provide alternate employment opportunities**
 - Currently, large % of India's population is dependent on agriculture, resulting in very high disguised unemployment and low level of income of farmers. Intensive programs for education and skilling are crucial to reduce this heavy dependency on agri-sector.
- **Conclusion**
 - » A blanket waiver scheme is detrimental for the development of credit market and Indian economy. Repeated debt-waiver programs distort households' incentive structures, away from productive investments and towards unproductive consumption and willful defaults.
 - » **The sustainable solution lies in structural agriculture reforms** and farm loan waiver can only be a short-term limited option.

3) MINIMUM SUPPORT PRICE (MSP) AND PROCUREMENT REGIME

- **Example Questions**
 - i. What do you mean by Minimum Support Price (MSP)? How will MSP rescue farmers from the low income trap? [Mains 2018, 10 marks, 150 words]
 - ii. What is Minimum Support Price [MSP]? What are the key objectives that MSP serves? Discuss the key issues associated with current MSP regime in India. [15 marks, 250 words]
- **Introduction**
 - » **What is MSP:** It is the minimum price set by the Government at which farmers can expect to sell their produce for the season. When market prices fall below the announced MSPs, procurement agencies step in to procure the crop and 'support' the prices.
 - » **Beginning:** The Minimum Support Prices (MSP) were announced by the Government of India for the first time in 1966-67 for Wheat in the wake of the Green Revolution and extended harvest, to save the farmers from depleting profits.
- MSP is announced for 22 mandated crops and FRP is announced for sugarcane (**total 23 crops**)
- **Need of MSP/ Rationale Behind MSP**
 - » Protecting farmers from price volatility
 - » Incentivizing farmers to grow crops in short supply
 - » MSP also ensures easy procurement for food security schemes
- **From FY19 the MSP has been pegged at more than 50% of cost of production for most of the Kharif and Rabi crops.** This is another step towards ensuring **income inclusiveness**.
 - » Accordingly, the Government has been increasing the MSP for all 22 Kharif, Rabi and Commercial crops with a margin of at least 50% over the all-India weighted average cost of production since the agricultural year 2018-19.
- **Various Mechanisms under MSP to procure crops and ensure remunerative prices for farmers (Before PM-AASHA)**
 1. **For wheat and paddy -> Open Ended Procurement by FCI**
 2. **Coarse Grains -> Purchased by state government** with permission of central government, **upto the extent it is required** in their Target Public Distribution System (TPDS).

3. **Price Support Scheme (PSS) - for oil seeds, pulses and cotton** - at the request of concerned states
 4. **Market Intervention Scheme (MIS)** for perishable horticulture commodities - at the request of states - when there is excess supply or low prices.
 5. **Pradhan Mantri Annadata Aay Sanrakshan Abhiyan (PM-AASHA)**: The scheme was launched in 2018 and is aimed at increasing the MSP procurement of pulses, oilseeds, COPRA etc. This is expected to ensure remunerative price to farmers.
 - **Three components of PM AASHA - Price Support Scheme; Price Deficiency and Payment Scheme; and Private Procurement & Stockist Scheme**
 - **Note: For Oilseeds, the states will be allowed to choose between the PSS or two other schemes.**
- **Note: AASHA is complementing (not replacing) complementing other schemes**
 - » Other existing schemes of Department of Food and Public Distribution (DFPD) for procurement of paddy, wheat and nutri-cereals/coarse grains and of Ministry of Textile for Cotton and Jute will be continued for providing MSP to farmers to these crops.
 - **What was expected out of PM-AASHA:**
 - » Better remuneration for farmers; reduced storage and procurement requirement for government; increased private participation -> more investment in storage etc; improved food security
 - **Some shortcomings in MSP Procurement Program**
 - » **Procurement is limited to few crops, few geographies and few farmers** -> only wheat and rice under open procurement -> Punjab, Haryana, Coastal Andhra benefitted a lot -> mostly big farmer benefitted
 - Budgetary support for PM-AASHA has been minimal.
 - **Agri-Marketing reforms** are incomplete: Poorly functioning APMCs with cartelization, lack of transparency which causes price distortion.
 - The three farm laws which were expected to reform agri-marketing in India had to be withdrawn due to farmers' protest.
 - **Poor infrastructure:** This has led to farmers remaining out of MSP regime.
 - There has been delays in establishment of procurement centre.
 - To increase procurement of pulses, oilseeds etc., a large infrastructure improvement is required at state level. This infrastructure is absent or very poor at state level.
 - » Lack of awareness about MSP among large section of farmers. This leads to they getting exploited at the hands of commission agent.
 - » **Inadequate MSP** (MSP calculation is not based on $A2 + FL + C2$ which was recommended by MS Swaminathan committee). It uses **A2 + FL** method.
 - **Other Criticism of MSP mechanism in general**
 - » **MSPs causes market distortion** -> this negative impacts free market economy and investment in the sector.
 - » **Cropping pattern** is affected and farmers tend to grow high MSP crops rather than the most suitable crop for the region.

- **Excess fertilizer and water guzzling crops** makes agriculture unsustainable.
- » **Higher inflation due to higher MSP pressure** also has to be considered while announcing MSP for the food crops.
- » **Cost Plus Pricing** is risky as it ignores the demand side, i.e. demand-supply, domestic and international price trends, terms of trade, inter-crop price parity etc.
- » **Leads to less focus on non-price factors** like technology, inputs, services, institutions and infrastructure
 - High fiscal burden on government
- » **Bigger stock exceeds the stock holding norms of FCI**
- » **WTO' AOA issues** (discussed with WTO issues separately)

- **Way forward**

- » There is a need of **correction in the way MSP is provided**.
 - Land rentals and capital depreciation needs to be kept in mind.
- » In order for our **procurement policy to be really inclusive**, government will need to focus upon improving the procurement infrastructure in rural, remote and backward areas. There is also a need to fast track the reform process of APMCs to end cartelization and promote transparency.
- » Steps towards **wooing private investments** needs to be enhanced. Crop mandis can ensure more competition and thus better output for farmers.
- » Further, FCI and NAFED will have to **strengthen the supply chain mechanism** to focus more on efficient distribution of the procured food items.
- » At the same time we should remember that **procurement schemes can only be a temporary solution**. For lasting impact we need other structural changes. Farming has to be made profitable by reducing production cost and improving returns.
- » In summary, there has to be a **Comprehensive 'Production, process and market' approach** through higher investments on market infrastructure, processing, value addition and agri-business and diversification along with farmer's welfare initiative.